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SKILLS MATTER: From manufacturing to services, all sectors are paying more

obscure as birthdays, marriage or staying loyal for a good 24 months—it sure pays to be an Indian. For the fifth consecutive year, Indian companies are projected to report double digit salary increases. This year's payouts will be up by almost 25 per cent compared to 2005.

India's 30-million-strong workforce in the organised sector has reasons to cheer as companies are willing to pay top dollar to stay in business and expand. With not enough warm bodies to fill positions, salaries have become the key determining factor in the war for talent. According to a salary trend survey for 2008, conducted by global human resources consulting firm Watson Wyatt, hikes are projected to be in the range of 15 to 25 per cent. The survey analyses projected increases for all management levels across key industry sectors. The survey, conducted across 146 companies and 907 positions, is merely another testament of the India growth story. For 20 straight quarters or five years in a row the corporate sector has logged double digit sales and

profit growth. As Indian companies prepare to close financial year 2008 with 36 per cent net profits, a 15-25 per cent increase in salaries seems to be a fair deal. Says Anita Belani, country head, human capital group, Watson Wyatt: "India is seeing new factories and companies and in a scenario like this, every person counts, which is why compensation has become key to retaining talent."

The subprime crisis may be taking a toll on American companies, but multinational firms in India are showing no signs of cutting costs. In fact some Indian companies sense an opportunity and are hiring. According to ECA International, a human resources consulting firm, Indian employees working with MNCs are going to receive an average hike of 14 per cent—the highest in the world—up from 12.6 per cent in 2007. Last year, average salary in-

crease across industry sectors stood at 14.4 per cent while the year before that it ranged between 11.9 and 16 per cent. India is followed by Argentina (12.7 per cent), Indonesia (11.3 per cent) and Russia (11 per cent). However, hikes in China, the world's fastest growing economy, are likely to remain static at 8 per cent. Says Raj Bowen, CEO of PDI International:

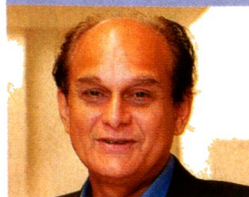
"Salary hikes in India represent a supply-demand imbalance and also a conscious attempt by companies to benchmark and align their compensation more closely with global standards in which there had been a big gap till now." Sadly though, the progress is largely in the organised sector which accounts for just about 10 per cent of the labour force. The boom is yet to reach the unorganised sector where workers continue to live off less than Rs 20 per day. Hopefully the cascading effect will make them a part of the boom just as a rising tide lifts small and large ships.

With manufacturing growing at 12.7 per cent and select industries like automobile and components growing at 20 per cent, salaries in manufacturing too are witnessing traction. All those who thought the sector was for the stodgy

and did not pay well will be in for a surprise. Along with infotech, the manufacturing sector is expected to pay out the highest increases this year at 16 per cent. Companies are perforce paying out large packets to their blue as well as white collar employees. Says Dr Y.V. Verma, director HR and management support, LG Electronics India: "In blue-collared jobs, there is a shortage of people with specialised skills such as paint shop, handling furnace machines, which has sent

"Human capital costs are rising as there are not enough people at the middle and junior level."

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Compared to India, hikes even in a booming China are static at **8%**